

TRANSNATIONAL TRANSFER OF STRATEGIC ORGANIZATIONAL PRACTICES: A CONTEXTUAL PERSPECTIVE

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To examine the phenomenon of the transnational transfer of strategic organizational practices within multinational companies, I use a cross-disciplinary approach. After conceptualizing the success of a transfer as the institutionalization of the practice at the recipient unit, I develop a multilevel model of transfer success, based on the notion of the contextual embeddedness of the process of transfer. I propose that three sets of factors at three levels—country, organization, and individual—affect transfer success reflecting social, organizational, and relational embeddedness. Finally, I discuss the theoretical and practical implications of this research.

For purposes of synergy and efficiency, organizations often engage in cross-unit transfers of business practices that reflect their core competencies and superior knowledge and that they believe to be a source of competitive advantage. Internal transfers of practices are important for all types of organizations, but they are critical for multinational corporations (MNCs), for a primary advantage that a multinational firm brings to foreign markets is its superior knowledge, which can be utilized in its subsidiaries worldwide (Bartlett & Ghoshal, 1997; Kogut, 1991).

Although scholars long have recognized the strategic importance of transfers of organizational practices within MNCs, we continue to find substantial evidence that these transfers are not always smooth and successful. Researchers have shown that there are various barriers to transfer success—some relating to the characteristics of the practices that are being transferred and others of a cultural and organizational nature (Ghoshal & Bartlett, 1988; Kedia & Bhagat, 1988; Szulanski, 1996; Zander & Kogut, 1995). On many occasions, foreign subsidiary managers are frustrated with headquarters' requests for implementation of "yet another new program."¹ Subsidiary managers may, inten-

tionally or not, decide not to implement a particular practice while reporting otherwise to headquarters. They may implement practices only partially, adopting those components that they feel "people here will buy in" and ignoring the rest. In some extreme cases, local managers feel so alienated from the parent company that they do not believe in the parent's motives and, thus, do not even consider complying with implementation requests.

Here, I develop a theoretical framework specifying the factors that contribute to the success of the transnational transfer of *strategic organizational practices* within MNCs. Strategic organizational practices are those practices considered to be dominant, critical, or crucial for achieving the strategic mission of the firm. By focusing on this particular type of organizational knowledge, rather than on technology or product innovations that have been the primary focus of past research (e.g., Ghoshal & Bartlett, 1988; Kogut & Zander, 1992, 1993; Zander & Kogut, 1995), I aim at filling in some of the gaps in the literature on knowledge transfer. As I argue below, this is an important distinction, which affects the nature of the transfer process, as well as the criteria for and the factors of transfer success. Furthermore, I examine transfers that take place *within MNCs*, rather than transfers across nations in general. Such transfers are likely to be subject to organizational influences, in addition to country-level influences—an as-

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¹ All examples in this paragraph come from interviews I conducted with foreign subsidiary managers of large U.S.

MNCs that have been involved in transfers of practices from the parent company to the subsidiaries.

pect attended to by management scholars only recently, and then only to a limited extent (Robinson, 1994; Szulanski, 1996; Zaheer, 1995).

In this article I examine a subset of all potential factors of transfer success, limited by the following boundaries. First, I focus on the *cognitive* and *psychological* aspects of the process of transfer. I conceptualize factors based on their potential to influence the ability of members of the recipient unit to correctly understand and interpret the practice as well as their motivation to engage in the process of transfer. Second, I adopt an *embeddedness* perspective (e.g., Granovetter, 1992), suggesting that transfers occur in a multifaceted context and that transfer success is affected by this context. Accordingly, factors are derived theoretically to reflect the *contextual* embeddedness of the process of transfer in three types of context: social, organizational, and relational.

Two important distinctions of this paper are its *cross-disciplinary* and its *multilevel* approach. The theoretical frameworks employed here come from organizational behavior, as well as from the resource dependence and the institutional perspectives in organization theory. The constructs included in the model of transfer success are defined at three levels of analysis: country, organization, and individual. As argued by many (e.g., Capelli & Sherer, 1991; Mowday & Sutton, 1993; O'Reilly, 1991), a multilevel approach such as this is appropriate, if not necessary, for studying such complex organizational phenomena as the cross-national transfer of practices. Despite the many theoretical and methodological challenges it poses, I consider this approach useful since it allows for a more thorough and innovative examination of the process of transfer and the determinants of transfer success.

The article begins with an introduction of the main concepts related to the phenomenon under study. I then present a theoretical model of the factors of transfer success. Finally, I discuss the significance and contribution of the article, as well as ideas about related future research.

Transfers of organizational practices can occur in various directions within the MNC, including transfers from parent companies to foreign subsidiaries, from foreign subsidiaries to parent companies, or from one subsidiary to another. The underlying ideas of the model presented in this article are general enough to accommodate

all these types of transfers. However, for purposes of clarity of the presentation, I focus my discussion on one particular type of transnational transfer: that of a parent company to a foreign subsidiary of the same company (termed *recipient unit* hereafter).

THEORETICAL BACKGROUND

The model of successful transfer of practices is derived theoretically, based on the conceptualization of two key constructs: (1) strategic organizational practices and (2) success of practice transfer. In this section I briefly present these conceptualizations, which then serve as the basis for model development.

Strategic Organizational Practices

The term *organizational practice*, although widely used by researchers and practitioners alike, has been relatively loosely defined in the literature. Researchers from different theoretical perspectives have focused on different defining characteristics of organizational practices and have used different terms in doing so. March and Simon (1958), for example, emphasize the stabilizing function served by organizational practices. They suggest that organizations use "performance programs"—that is, habitualized actions, routines, and standard operating procedures, which are "a central ingredient accounting for the reliability of organizations" (Scott, 1995: 54). Evolutionary theorists, such as Nelson and Winter (1982), have studied organizational routines, which they view as the "genes" of an organization, and have stressed their "taken-for-granted," subconscious, and tacit nature. Szulanski (1996) defines organizational practices similarly, although in broader terms, as the routine use of organizational knowledge.

Building upon this variety of approaches and drawing mainly from institutional theory (e.g., Meyer & Rowan, 1977; Selznick, 1957; Zucker, 1991), I define organizational practices as particular ways of conducting organizational functions that have evolved over time under the influence of an organization's history, people, interests, and actions and that have become institutionalized in the organization. Practices reflect the shared knowledge and competence of the organization; they tend to be accepted and approved by the organization's employees and

to be viewed as the taken-for-granted way of doing certain tasks. Practices are multifaceted. They consist of different elements, including a set of (un)written *rules* of how a certain organizational function should be conducted and an accompanying set of *cognitive* elements (such as the concepts and categories by which these rules are described). In addition, the rules of a practice reflect a set of underlying *values* and *beliefs* (Hofstede, 1991). For example, the practices of ethical business conduct employed by many firms include rules of how a firm should relate to its various stakeholders (e.g., customers and communities), concepts (e.g., social responsibility and corporate giving) that are instrumental for explaining these rules, and a set of underlying values and beliefs (e.g., beliefs about what ethical business conduct is).

The practices that organizations develop and institutionalize vary widely. Some are narrow in scope, referring to specific tasks within a functional area (e.g., a firm's practices for employee evaluation). Others are broader, referring to larger tasks (e.g., total quality management). Practices also differ with regard to their degree of formalization, ranging from highly formalized (i.e., there are written rules describing the practice) to completely informal. Yet another distinction is their content and focus, with some being primarily technical and others more social. Winter (1990), for instance, suggests that organizational genes range from "hard" (i.e., activities encoded into technologies) to "soft" (i.e., activities encoded into people's actions). Similarly, Kedia and Bhagat (1988) distinguish between "people-embodied" and "product-embodied" technologies.

Strategic organizational practices, which are the focus of this article, are those practices believed to be of strategic importance for the firm—believed to reflect the core competencies of the firm and to provide a distinct source of competitive advantage that differentiates the firm from its competitors. As such, these practices typically are difficult to imitate. Therefore, strategic organizational practices tend to be more complex and broad in scope, and more "people" rather than "technology" focused, because these characteristics are likely to make a practice less imitable and more critical for the competitive edge of a firm.

Strategic practices also are likely to be formalized at some point so that they can be dif-

fused more easily in the organization. Examples of such practices will vary, based on what a particular firm considers its sources of competitive advantage to be. For 3M, these might be the practices related to the company's innovativeness, whereas for GE, these might be the practices supporting its strategic goal of continuous organizational learning. Other examples of strategic practices may include, but are not limited to, the practices of supplier integration, continuous improvement, and total quality management.

Because of their strategic importance for the organization, and as suggested by institutional theorists (e.g., Selznick, 1957), these practices may become "infused with value"—that is, they may acquire meaning for organizational members that is symbolic and normative in nature, a meaning that goes beyond technical efficiency. Certain strategic practices also may serve as a basis for organizational identification or as a source of personal satisfaction for employees (Selznick, 1957). For example, a well-known organizational practice at 3M allows company engineers and researchers to spend 15 percent of their time in activities not directly related to their immediate tasks—thinking about, discussing with colleagues, or working on new ideas of their choice. This practice has a symbolic meaning for the employees of 3M that goes beyond the formal rules associated with it. It is a source of identity for the employees, for it is part of what makes working for 3M different from working for other companies. It is also a source of satisfaction, since employees understand the value of this practice for the company. Finally, maintaining this practice helps the company preserve its identity and integrity as a highly innovative organization, which is arguably its most inimitable source of competitive advantage.

Acknowledging the "value-impregnated" nature of strategic organizational practices helps to distinguish between this work and previous research that has focused primarily on transfers of technology and product innovations (Ghoshal & Bartlett, 1988; Kogut & Zander, 1992, 1993; Zander & Kogut, 1995). Whereas technological and product innovations are mainly knowledge based, and the success of their transfer is determined to a great extent by the transferability of knowledge, strategic organizational practices are meaning and value based, as well as knowl-

edge based; hence, the success of their transfer is determined by the transferability of meaning and value, in addition to the transferability of knowledge. Thus, the transfer of the "15 percent" practice to a foreign subsidiary of 3M would require transferring not only the written rules explaining the practice but a meaning similar to the one that the practice has acquired for the employees at the parent company.

Success of Practice Transfer

How does an organization know whether a strategic organizational practice has been transferred successfully to a recipient unit? The theoretical definition of transfer success provided here is based on the above conceptualization of strategic organizational practices and is consistent with the institutional perspective. In light of the above, one could suggest that the process of transfer has two aspects: (1) the diffusion of a set of rules and (2) the transmission or creation of an "infused-with-value" meaning of these rules among the employees of the recipient unit. That is, the transfer process does not end with the adoption of the formal rules describing the practice but continues until these rules become internalized at the recipient unit—that is, the employees at the recipient unit attach to the practice a symbolic meaning and value, as have the employees from the home of the practice.

Accordingly, I define the *success of transfer* as the degree of *institutionalization* of the practice at the recipient unit. Institutionalization is the process by which a practice achieves a taken-for-granted status at the recipient unit—a status of "this is how we do things here." In addition, institutionalization is also a process by which the practice may achieve symbolic meaning for the employees at the recipient unit. Institutionalization, thus, is conceptualized at two levels: implementation and internalization.

I define *implementation* here as the degree to which the recipient unit follows the formal rules implied by the practice; hence, it is reflected in certain objective behaviors and actions at the recipient unit. *Internalization* is that state in which the employees at the recipient unit attach symbolic meaning to the practice—they "infuse it with value" (Selznick, 1957). A practice becomes infused with value when it is accepted and approved by employees, when the employ-

ees see the value of using this practice, and when the practice becomes part of the employees' organizational identity.

Implementation and internalization, although theoretically distinct, are likely to be interrelated. Higher levels of implementation of a particular practice will be associated with higher levels of its internalization. The causality of this relationship can be hypothesized based on institutional theory. As Selznick (1957) suggests, infusion with value occurs when a practice achieves a taken-for-granted status. Therefore, in an institutional theory framework, implementation is a necessary condition for internalization. The more a particular practice is used in an organization, the more likely it will be that employees will take it for granted and will attach a symbolic meaning and value to it. However, implementation does not automatically result in internalization. It is possible that, although a practice is formally implemented and its rules strictly followed, the employees do not infuse it with value by developing positive attitudes toward it. They may, for example, disapprove of the practice or of some of its aspects, or they simply may not have had the time to develop a positive attitude toward it.

Internalization, as defined above, is conceptually proximal to traditional constructs from the field of organizational behavior, such as organizational commitment, job satisfaction, and psychological ownership, which, I suggest, can be adapted to operationalize the concept of internalization. These constructs can be applied to organizational practices, because practices constitute one of the many aspects of organizations toward which employees can develop the above attitudes. Scholars have applied both job satisfaction and psychological ownership to a variety of targets of organizational nature—for example, organization, job, peers, task, and supervisor (e.g., Locke, 1976; Pierce, Van Dyne, & Cummings, 1992). The conceptualization of commitment, although traditionally applied at the level of the organization (Mowday, Steers, & Porter, 1979), also allows its application to targets other than an organization, such as organizational practice.

Practice commitment (based on Mowday et al., 1979) is the relative strength of an individual's identification with and involvement in a particular organizational practice, which can be characterized by a strong belief in and acceptance of

the practice's goals and values, a willingness to exert considerable effort for the implementation of the practice, and a strong desire to continue the use of the practice. *Practice satisfaction* (adapted from Locke, 1976) is an individual's positive affective attitude toward an organizational practice and an appreciation of its value for the organization. Employee *psychological ownership* of a practice (adapted from Pierce et al., 1992) is that state where individuals feel as though the target of ownership—an organizational practice, in this case—is theirs and has become part of their "extended selves": a state in which they can say "this is our practice" or "this is my practice."

Consider, for example, a transfer of the 15 percent practice of 3M to its subsidiary in India. I proposed above that the success of this transfer should be assessed in terms of both the degree to which the practice has been implemented formally and the degree to which it has been internalized by the 3M employees in India. Thus, the objective signs of formal implementation—the formal inclusion of the rules of the practice into the appropriate documentation (e.g., manuals and procedures) or the proportion of employees using 15 percent of their time for activities not directly related to their immediate tasks—are not sufficient indicators of success. What must also be considered is the degree to which the employees are committed to, satisfied with, and have developed a sense of ownership toward the practice. Only when the practice is implemented formally and is also internalized by the employees will it become an institutionalized organizational practice with strategic importance in the Indian subsidiary. And only then will the practice be a source of organizational identity and competitive advantage, as it purportedly is at the parent company.

FACTORS OF TRANSFER SUCCESS

I have developed a theoretical model of the factors of transfer success based on the above conceptualizations, previous research on transfer of practices, and extensive interviews conducted with managers from the headquarters and foreign subsidiaries of three large U.S.

MNCs.² The model is based on the idea that the process of transfer does not occur in a social vacuum but, rather, is contextually embedded (e.g., Capelli & Sherer, 1991; Granovetter, 1992; Mowday & Sutton, 1993). I consider three types of context: social, organizational, and relational. The social context I conceptualize in terms of the institutional distance between the countries of the parent company and of the recipient unit. The organizational context I conceptualize in terms of the organizational culture of the recipient unit, and the relational context I conceptualize in terms of the past relationships between the parent company and the recipient unit, as perceived by the members of the transfer coalition at the recipient unit (i.e., the "key players" at the recipient unit involved in a particular transfer).

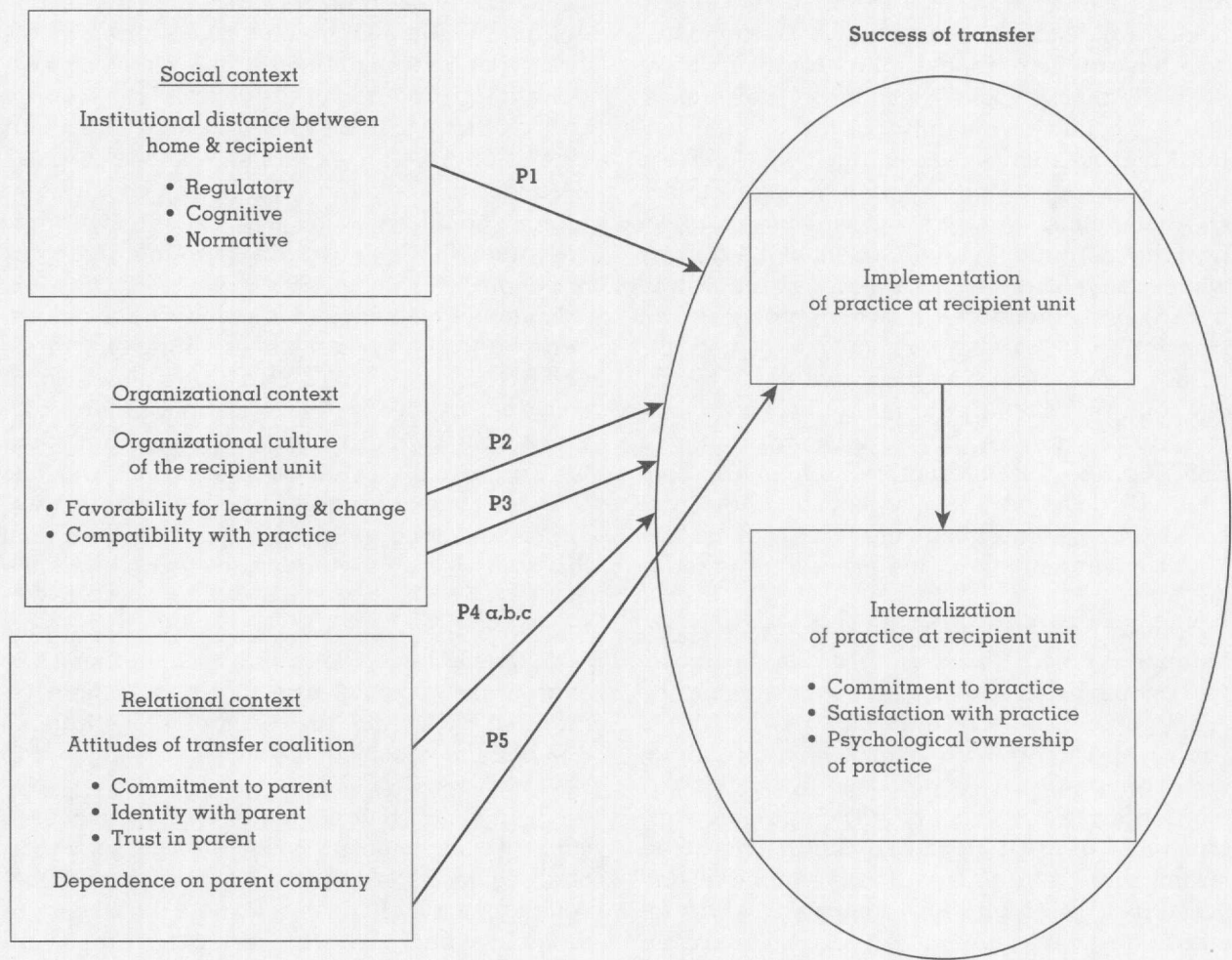
Accordingly, I examine three sets of factors of transfer success, each of them operating at a different level: country, organization, and individual. These three types of embeddedness and their conceptualizations are consistent with the cognitive and psychological focus of the article, for they reflect important aspects of the context, which influence the ability and motivation of members of the recipient unit to engage in a successful transfer. I present the theoretical model in Figure 1 and discuss the three types of context in the following sections.

Social Context

Research suggests that organizational practices vary across countries (Lincoln, Hanada, & McBride, 1986), since they are affected by the sociocultural environments in which they have evolved and are being used (e.g., Adler, 1995; Janssens, Brett, & Smith, 1995; Kogut, 1991). Cross-country differences have been found in a variety of organizational practices, such as negotiations (Graham, 1985), leadership and distribution of power and authority in organizations (Hofstede, 1980), and human resource management practices (Adler, 1995), among others. For example, whereas promotion in U.S. companies is based primarily on merit and performance, in Japanese companies it is based on seniority and loyalty to the organization (Adler, 1995). Like-

² A total of 25 semistructured half-hour to hour-and-a-half interviews were conducted and taped.

FIGURE 1
Model of Success of the Transnational Transfer of Organizational Practices



wise, the decision-making practices used in Japanese firms (e.g., *ringi*) are different from those used in Western companies. In Japan the focus is on consensus building through a lengthy process of organization-wide employee participation (Boulgarides & Oh, 1985), whereas in the West, decision making tends to be a more specialized activity conducted by those directly responsible for the decision. Consistent with this literature, I propose here that there will be *country-level effects* on the success of transfer, with some countries providing more favorable environments for transfer of certain practices and others presenting a number of difficulties and challenges.

Researchers usually have studied country-level effects by using the concept of national culture, which has been defined in various

ways. Some scholars have emphasized the cognitive nature of culture, defining it as "the collective programming of the mind that distinguishes the members of one category of people from those of another category" (Hofstede & Bond, 1988: 6). Others have stressed its normative component and have proposed that it reflects the shared values of a group (Kroeber & Kluckholm, 1952).

Scholars also have proposed dimensions of culture along which societies differ, and country scores on these dimensions. An example is Hofstede's (1980) typology of individualism/collectivism, uncertainty avoidance, power distance, and masculinity/femininity. Researchers have widely employed this work to study the impact of culture on organizational behavior. For example, Janssens et al. (1995) studied the effects of

Hofstede's (1980) cultural dimensions on the implementation of corporate-wide safety policies, and Kogut and Singh (1989) examined the effects of cultural distance on the choice of entry mode.

In this article I propose an alternative way of conceptualizing social or country-level effects, using a country's institutional rather than cultural characteristics. The main ideas here are that (1) countries differ in their institutional characteristics; (2) organizational practices reflect the institutional environment of the country where they have been developed and established; and, therefore, (3) when practices are transferred across borders, they may not "fit" with the institutional environment of the recipient country, which, in turn, may be an impediment to the transfer. In the next two sections I first describe this alternative approach to conceptualizing country-level effects and I then develop propositions about the effects of institutional environments on the success of practice transfer.

Country institutional profile. Drawing on institutional theory (the main theoretical perspective adopted in this article), I suggest using the construct of *country institutional profile* (CIP) to capture the institutional characteristics of a national environment. As proposed by Scott (1995), institutional environments are composed of various types of institutions and can be characterized by three "pillars": regulatory, cognitive, and normative. The *regulatory* component of an institutional environment reflects the existing laws and rules in a particular national environment that promote certain types of behaviors and restrict others (Scott, 1995)—for example, the Foreign Corrupt Practices Act in the United States.

The *cognitive* component reflects the cognitive categories widely shared by the people in a particular country (Markus & Zajonc, 1985; Scott, 1995). Scott suggests that "cognitive elements constitute the nature of reality and the frames through which meaning is made" (1995: 40). Cognitive programs such as schemas, frames, inferential sets, and representations affect the way people notice, categorize, and interpret stimuli from the environment. Although carried by individuals, cognitive programs are elements of the social environment and are social in nature (Berger & Luckman, 1967).

The *normative* component of an institutional environment focuses on normative systems—

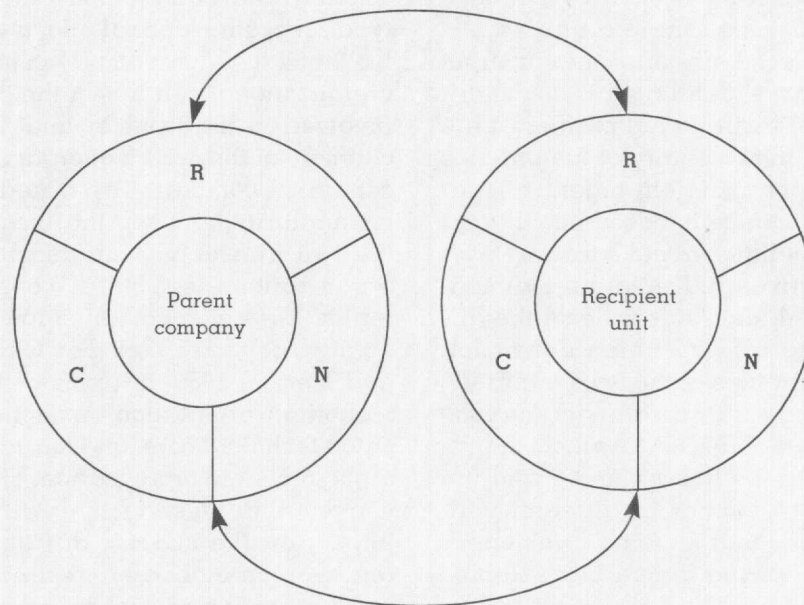
that is, the values and norms held by the individuals in a given country. Normative components introduce "a prescriptive, evaluative, and obligatory dimension into social life" (Scott, 1995: 37). Hofstede defines values as the conceptions of the preferred or the desirable—"feelings with an arrow to it: they have a plus and a minus side" (1991: 8)—for example, evil versus good, paradoxical versus logical. Norms specify how things should be done; "they are the standards for values that exist within a group or category of people" (Hofstede, 1991: 8).

In summary, as depicted in Figure 2, I suggest here that a country's social environment can be characterized by its CIP: a three-dimensional construct defined as the set of regulatory, cognitive, and normative institutions in that country. For example, if one were to characterize the U.S. environment regarding equal employment opportunity, one could do so by using the CIP of the United States—that is, by examining the three types of related institutions that exist in the United States: the regulatory institutions (e.g., the EEO Act), the cognitive institutions (the shared social knowledge that people hold regarding EEO), and the normative institutions (the beliefs, values, and social norms related to EEO that people hold).

CIP and culture reflect different approaches to conceptualizing social context. Although a thorough comparison of the two approaches is beyond the goals of this article, note that there are areas in which the two overlap, and there are other areas where they differ. For example, the cognitive and normative dimensions of CIP are conceptually close to culture, whereas the regulatory dimension is unique to CIP and not captured by culture. Additional differences may result from the particular approaches that might be used for their operationalization and measurement, an issue addressed further in the Discussion section of the article.

CIP and practice transfer. The practices employed by organizations are shaped by the institutional environment in which those organizations function (Meyer & Rowan, 1977; Parsons, 1960; Selznick, 1957). Organizations tend to incorporate organizational forms, structures, and practices that are socially legitimate—that is, "isomorphic" or consistent with the regulatory, cognitive, and normative institutions operating in the environment (Meyer & Rowan, 1977; Powell & DiMaggio, 1991). Furthermore, organization-

FIGURE 2
Institutional Distance



Note: R is the regulatory institutional environment, C is the cognitive institutional environment, and N is the normative institutional environment.

al members are, themselves, carriers of the institutionalized knowledge of the society and, as such, tend to design and employ practices that are consistent with the institutional environment (Selznick, 1957).

What happens when organizational practices are transferred across institutional environments, as is the case in transnational transfers of practices in MNCs? There is a possibility that these practices may not be consistent with the institutional environments into which they are transferred, and they may even be in conflict with them. This, in turn, may affect the ultimate success of the transfer.

First, regarding the regulatory institutions, if a practice is perceived by the employees at a recipient unit to be in conflict with the regulatory institutions in their country, it is highly unlikely they will engage in transferring and implementing it. Second, if a practice is inconsistent with the cognitive institutions in the recipient environment, employees again likely will be reluctant to engage in its implementation, for they probably will have difficulties understanding, interpreting, and judging it correctly. As discussed previously, events may have different interpretations based on the cognitive structures that perceivers have at their

disposal. Cognitive structures also affect learning processes; it is much easier to learn a new practice when it is consistent with the prevalent social schemas than when it is inconsistent with these schemas (Markus & Zajonc, 1985). Third and finally, regarding the normative dimension, in past research scholars have found that practices, in order to be implemented successfully in foreign subsidiaries, have to be consistent with and take into account the different assumptions and value systems of the national cultures of those subsidiaries (Schneider, 1986). For example, although the collective decision-making practice of *ringi* may be perfectly understandable to and valued by Japanese employees (Adler, 1995), the foreign employees of Japanese companies may be puzzled by the complexity, length, and subtlety of the process and may, as a result, question the value of the practice.

Furthermore, the greater the difference between the institutional profiles of the home country of the practice and the recipient country, the greater the likelihood will be that there will be a misfit between the transferred practice and the recipient environment, which, in turn, may result in difficulties or even failure of the transfer. Transfers of practices between the United States and Canada, for example, perhaps will

be easier to accomplish than transfers between the United States and Malaysia, owing to the regulatory, cognitive, and normative similarities or differences between these countries.

To capture this effect, I introduce the construct of *institutional distance*, defining this as the difference between the institutional profiles of the two countries—the home country of the practice and the country of the recipient organizational unit. Institutional distance is based on CIP and is, therefore, a three-dimensional construct with a regulatory, cognitive, and normative dimension. Each of these dimensions reflects the difference between the corresponding dimension in the institutional profiles of the two countries.³

In summary, I suggest that transfer success will be affected by the degree to which the institutional profiles of the home country and the recipient country are similar or different with regard to the practice that is being transferred. This leads to the following formal proposition:

Proposition 1: The success of transfer of a strategic organizational practice from a parent company to a recipient unit is negatively associated with the institutional distance between the countries of the parent company and the recipient unit.

Organizational Context

In addition to their social embeddedness, transfers are also organizationally embedded, since they occur in a corporate context that can be either favorable or unfavorable regarding a particular transfer. In his work on diffusion of innovations, Rogers (1980) suggests that the compatibility of an innovation with the systems at the recipient unit is one of several important dimensions of innovations that can explain the success of the diffusion. Similarly, Kogut and Zander (1992) and Zander and Kogut (1995) propose that the success of transfer will be affected, among others, by the compatibility of the organizing principles of the recipient unit with the principles implied in the technology that is being transferred. Such compatibility, they suggest, affects the ease or difficulty with which the

new knowledge can be communicated and understood.

Kedia and Bhagat (1988) have proposed two types of organizational effects on the success of technological transfer: (1) compatibility of the organizational cultures of the two organizations involved in the transfer and (2) the absorptive capacity of the recipient organization. They conceptualize compatibility (based on Strauss, 1982) as similarity between the "negotiated order" of the two transacting organizations, reflected in organizations' structural conditions and patterned lines of communication. They define absorptive capacity (based on Child & Kieser, 1981, and Merton, 1968) in terms of local versus cosmopolitan orientation, existence of a sophisticated technical core, and strategic management at the recipient organization. These authors also suggest that these factors will have a stronger impact on the success of transfer for process- and person-embodied technologies than for product-embodied technologies and, therefore, will apply fully to strategic organizational practices, which are much more process and person than product embodied. Finally, Ghoshal and Bartlett (1988) have found that an MNC subsidiary's ability to contribute to the task of creation, adoption, and diffusion of innovations is positively affected by the degree of normative integration of the subsidiary into the MNC through organizational socialization and dense intraunit and interunit communication.

One could propose, based on this research, that the success of transfer of organizational practices will be affected by the organizational culture of the recipient unit. The numerous definitions of organizational culture that exist usually begin with a set of values and assumptions (e.g., Schein, 1985) that act as the defining elements around which other elements of culture, such as norms, symbols, rituals, and cultural activities, evolve. For example, Rousseau (1990) defines culture as consisting of fundamental assumptions, values, behavioral norms and expectations, and larger patterns of behaviors. O'Reilly, Chatman, and Caldwell (1991) and Chatman and Jehn (1994) take a narrower approach, defining organizational culture as a set of values widely shared among organizational members. They group these values into seven dimensions: innovation, stability, respect for people, outcome orientation, detail orientation, team orientation, and aggressiveness.

³ In this article the home unit is the parent company and the recipient unit is any foreign location to which the practice is being transferred.

Adopting this latter definition and focusing on the recipient unit, I suggest that organizational culture can have two types of effects on the success of practice transfer: (1) general and (2) practice specific. First, since transfer of practices typically is associated with organizational learning, change, and innovation at the recipient unit, a cultural orientation of that unit toward learning, innovation, and change likely will result in more positive attitudes toward the transfer process and will lead to its eventual success. This effect is not practice specific, since it reflects characteristics of the recipient unit that apply to all types of activities associated with learning, innovation, and change in general. Thus, organizational entities that score high on the "innovation" dimension of O'Reilly et al.'s (1991) classification will tend to be more receptive of new practices in general, compared to units that score low on this dimension. Thus, I propose the following:

Proposition 2: The success of transfer of a strategic organizational practice from a parent company to a recipient unit is positively associated with the degree to which the unit's organizational culture is generally supportive of learning, change, and innovation.

Second, there will be a practice-specific effect of organizational culture. Given the nature of strategic organizational practices, one can suggest that the success of transfer will be affected by the compatibility between the values implied by the particular practice and the values underlying the culture of an organizational unit. When these values are compatible, it will be easier for employees at the recipient unit to understand and internalize the practice. However, it will be difficult for them to understand, implement, and moreover internalize a practice, the underlying values of which are incompatible with the values of their unit. For example, it will be easier to transfer the practice of team work to units with a higher "team orientation" (see O'Reilly et al.'s [1991] classification) than to units with lower team orientation, and vice versa. This leads to the following proposition:

Proposition 3: The success of transfer of a strategic organizational practice from a parent company to a recipient unit is positively associated with the

degree of compatibility between the values implied by the practice and the values underlying that unit's organizational culture.

Relational Context

Transfer failures are possible, even when both the social and the organizational contexts are favorable. A potential reason for such failures could reside in the specific *relationships* that exist between the parties involved in the transfer—a factor that has been examined only recently and to a limited extent. In his study of "stickiness," which he defines as the difficulty of knowledge transfer inside the firm, Szulanski (1996) suggests that stickiness is more likely to occur when there is a lack of motivation on behalf of the recipient, a lack of perceived reliability of the source, and an arduous (i.e., distant and laborious) relationship between the recipient and the source of the knowledge.

The processes of transfer of strategic practices are commonly associated with major changes at the recipient unit, such as breakup of existing routines for certain tasks, extensive training of the workforce, shifts in the power structure, and changes in the organizational philosophy and culture. For this reason, the successful accomplishment of transfers requires substantial time, effort, and, therefore, motivation on behalf of the important decision makers and key players at the recipient unit. The set of key players, which I refer to here as the *transfer coalition*, is composed of two groups of people: (1) a stable "core" and (2) a flexible "expert" group. The core group consists of the key managers of the recipient unit who are "in charge" of all transfers, and who quite often have a lot of discretion in making a decision of whether to engage in the transfer or not and, if so, how much effort to put into it. The expert group is practice specific and may include employees who are experts in the functional area of the practice. For example, if a performance evaluation practice is being transferred, the transfer coalition may include professionals from the human resources department at the recipient unit, in addition to the senior managers of the unit. The transfer coalition serves as a "bridge" between the recipient unit and the parent company and, as such, is key in understanding and interpreting the practice and its value to the unit. It is responsible for "selling"

the practice to the employees at the recipient unit, and it also determines what is communicated, how it is communicated, and how it is received. Finally, the transfer coalition is important because it has control over the resources necessary for a successful transfer.

Drawing from research in organizational behavior and organization theory (e.g., Pfeffer, 1997), I propose that the motivation of the transfer coalition to engage in the process of transfer is affected by the quality of its relationship with the parent company. As suggested in network theory (e.g., Granovetter, 1992), individual actions can be explained partly by their relational embeddedness. Relational embeddedness refers to the fact that "economic action and outcomes, like all social action and outcomes, are affected by actors' dyadic (pairwise) relations and by the structure of the overall network of relations" (Granovetter, 1992: 33). Relational embeddedness also reflects the temporal dimension in contextual influences—that is, the effects of past relationships between individuals on their current actions, which, as argued by Mowday and Sutton (1993), can enrich our understanding of organizational behavior.

Two types of relationships seem to be most important in the context of this article, and I discuss them below: (1) *attitudinal* relationships and (2) *power/dependence* relationships. They both affect the motivation of the transfer coalition to engage in the transfer process and are especially salient when the direct value of the knowledge that is being transferred is difficult to assess, such as in the case of transfer of strategic organizational practices, as opposed to technologies or new product designs.

Attitudinal relationships. I propose that three types of attitudinal relationships affect the motivation of the transfer coalition's members to engage actively in the transfer process and, in turn, affect transfer success: their commitment to, identity with, and trust in the parent company.

Adapting the concept of organizational commitment by Mowday et al. (1979), I define *commitment* of a recipient unit's transfer coalition to a parent company as the degree to which the coalition members are willing to exert considerable effort on behalf of the parent company and have a strong desire to maintain membership in the parent company. Individuals who are highly committed to the parent company likely will be

committed to any task assigned by the parent company, including the task of practice transfer (Mathieu & Zajac, 1990). Committed transfer coalition members will be more willing to meet the challenges of the process of transfer by providing the necessary resources and organizational support, as well as by investing additional time and effort as needed. The degree of commitment of the transfer coalition members to the parent company, thus, will be directly related to the potential success of the practice transfer.

Identity of the transfer coalition with the parent company reflects the degree to which the members of the transfer coalition experience a state of attachment to and identify with the parent company—that is, they feel they are part of the organization and/or belong to it, and they partly derive their self-identity from this organizational membership. As suggested in the literature (Kagan, 1958; O'Reilly & Chatman, 1986), individuals' identity with an organization results from a strong belief and acceptance of the values and goals of the organization. Therefore, members of the transfer coalition who identify with the parent company likely will share the values and the beliefs of the company embodied in the practice that is being transferred, and they will understand better the meaning and the value of the practice for the company. As a result, members will be likely to engage more actively in the transfer of the practice to their units.

Identity with the parent company also will reduce the effects of the "not-invented-here" syndrome, and the practice will be viewed to a lesser extent as strange and coming from an outsider—as "theirs, not ours." Finally, when the members of a transfer coalition identify with the parent company, they will probably prefer the recipient unit to become more similar with the parent by adopting the practices used by the parent. These arguments are consistent with Child and Rodrigues's (1996) findings that knowledge transfer in international joint ventures is facilitated when the partners involved in the transfer hold similar social identities and is impeded when they hold different social identities.

Adapting Bromiley and Cummings' (1995) definition of interorganizational trust, I define *trust* of the transfer coalition in the parent as a common belief among the members of the coalition that the parent company (1) makes good-faith

efforts to behave in accordance with any commitments, both explicit or implicit; (2) is honest in whatever discussions precede such commitments; and (3) does not take excessive advantage of the recipient unit, even when the opportunity is available. Higher levels of trust in the parent company will likely reduce the uncertainty regarding the value of the practice for the recipient unit, as well as the motives behind the transfer. Higher trust also will be associated with higher perceived reliability of the source—a factor shown to positively influence transfer success (Szulanski, 1996). Finally, trust may reduce the costs of communication, negotiation, and exchange associated with a transfer between the sender (parent company) and the recipient (Bromiley & Cummings, 1995; Zaheer, McEvily, & Perrone, 1998).

In summary, I propose here that transfers will be more likely to succeed when members of the transfer coalition hold positive attitudes toward the parent company. It should be noted that the ultimate success of a transfer depends on the support of all employees at the recipient unit and that this support does not follow automatically from the support by members of the transfer coalition. However, the role of the transfer coalition is still critical because its members are in a position to provide the necessary resources, as well as to influence the employees at large. Thus:

Proposition 4: The success of transfer of strategic organizational practices from a parent company to a recipient unit is positively associated with (a) the commitment of the transfer coalition at the recipient unit to the parent company, (b) the identity of the transfer coalition with the parent company, and (c) the trust of the transfer coalition in the parent company.

Power/dependence relationships. I derive the next proposition from resource dependence theory (Pfeffer & Salancik, 1978) and institutional theory (Meyer & Rowan, 1977). Because of their positioning at lower hierarchical levels in the organization relative to the parent company, recipient units in the MNC may develop perceptions of dependence on the parent. The dependence could be for various types of resources or outcomes, such as technology, capital, managerial expertise, promotion of the subsidiary staff

to higher positions in the company, and so forth. In addition, these units might be in a situation where they compete with other units for organizational resources provided by the parent company or the corporate headquarters.

Following institutional theory (e.g., Meyer & Rowan, 1977), one could suggest that under such conditions of dependency and intraorganizational competition, a recipient unit will try to become internally legitimate with the parent company and the corporate headquarters and will try to gain their favorable judgments. Becoming isomorphic with the parent company by implementing the practices that have been institutionalized at the parent is one of the strategies that subsidiaries could use to achieve intraorganizational legitimacy (Meyer & Rowan, 1977; Powell & DiMaggio, 1991). Complying with the requests of the headquarters is also a strategy that will be viewed positively by the headquarters, and which could consequently increase the degree to which the unit is perceived as cooperative and committed to the organization. Therefore, the transfer coalition's perceptions of being dependent on the parent may provide an alternative source of motivation to comply with the requests for practice transfer and to engage actively in this process.

Finally, as suggested in institutional theory (Meyer & Rowan, 1977), a legitimacy motive for incorporating institutionalized structures, forms, and procedures usually leads to their formal, public, and ceremonial adoption. However, it is highly unlikely that under such conditions (i.e., when the single motive for the transfer of a practice is to achieve legitimacy with, and approval by, the parent company), the employees at the recipient unit will go on to develop positive attitudes toward the practice. Thus, dependence will have effects on implementation but not on internalization. This leads to the following proposition:

Proposition 5: The perceived dependence of a recipient unit on the parent company will be positively associated with the implementation but not internalization of the practice that is being transferred to that unit.

DISCUSSION

In this article I have examined an important organizational phenomenon—that of transna-

tional transfers of strategic organizational practices within MNCs—and have presented a model of the determinants of transfer success drawing on a variety of theoretical perspectives. Unlike previous studies in which, with few notable exceptions (e.g., Zaheer, 1995), scholars have looked at transfer of knowledge in general, or transfers of technological and product innovations, I have focused on organizational practices and, more specifically, on strategic organizational practices. Characterizing strategic organizational practices as being institutionalized over time and as having a symbolic meaning for employees suggests that other determinants of success and other theoretical perspectives be used, in addition to the ones used in previous works. I employed the institutional and the resource dependence perspectives from organization theory here in combination with certain theories from organizational behavior in order to define the key constructs in the model, such as success of practice transfer, institutionalization and internalization of an organizational practice, institutional distance, and so on. I then used these multiple perspectives to develop the propositions.

I have used a *multilevel approach* in this article, which is the appropriate way to study multilevel phenomena, such as transfers of practices across national borders. The theoretical model developed here reflects the complexity of the process of transnational transfers. First of all, the model recognizes that the success of transfer resides primarily in the individual employees at the recipient unit. It is they who must implement, as well as internalize, the practice if the transfer is to be successful. Furthermore, the model draws on the idea that transfers are embedded in three types of context—social, organizational, and relational—that operate at the level of the country, the organization, and the individual, respectively. In this sense, the model is a response to the calls for bringing context back into the study of organizational behavior (e.g., Capelli & Sherer, 1991; Mowday & Sutton, 1993; O'Reilly, 1991; Staw, 1991) and for building "meso" theoretical models that integrate macro and micro paradigms and constructs (House, Rousseau, & Thomas-Hunt, 1995).

This article illustrates some of the advantages of the meso approach that have been discussed in the literature (House et al., 1995). One could argue that the model I present here is much

better specified compared to alternative models that would have been developed from a purely micro or macro perspective. It includes variables from multiple levels of analysis that are important in the context of practice transfer but that would have been omitted otherwise. Applying a meso approach also has allowed a more integrated inquiry into the examination of the research question. Finally, the meso approach has prompted an examination of the relationships between variables defined at different levels (e.g., the institutional profile of a country and the attitudes of an individual employee to an organizational practice), which, in turn, has resulted in a better understanding of the phenomenon under study.

The *theoretical* contributions of this article are mainly to institutional theory and international management. They can be examined at the three different levels of analysis to which the institutional theory framework is applied here. First, I have applied institutional theory to the level of the *individual* in order to discuss the link that exists between the individual employee and the institutions established in the societal and the organizational environments. A potential contribution, then, is the conceptualization of success of transfer of a strategic practice as internalization of the practice by employees, in addition to its formal implementation. Further, I have used traditional organizational behavior constructs to define the concept of internalization, including employee commitment to, satisfaction with, and psychological ownership of the practice. This is an important step toward the operationalization and possible measurement of institutionalization and internalization, which, to my knowledge, has not been done before.

Second, I have applied the institutional theory framework to an *intraorganizational* setting—a level not typical for most of the work in institutional theory. For example, the concept of legitimacy and the related legitimacy motives for organizational behavior, both central to institutional theory, have been used here at the level of the organizational unit within the large MNC in order to suggest that units may engage in practice transfer for the purpose of achieving internal legitimacy with the parent company and the corporate headquarters. In this case, the implementation is likely to be done in a ceremonial

manner and not necessarily to coincide with internalization of the practice by employees.

Third, at the level of the *country*, I have introduced the constructs of country institutional profile and institutional distance as ways to conceptualize and eventually measure country-level effects. I present this approach as an alternative to the culture-based approach, which currently dominates international management research (e.g., Hofstede, 1991). Much additional work is needed before any conclusions can be made about the potential advantages and disadvantages of these two approaches. For example, the theoretical relationships between culture and CIP should be examined, such as conceptual overlap and distinctiveness, cause-effect relationships, and possible nested effects.

One could speculate, however (with extreme caution at this time), that CIP may have some advantages compared to culture. First, it provides a more encompassing way to study country-level effects, because it reflects not only the cognitive and normative aspects of national institutional environments but their regulatory aspect as well. Second, CIP could be applied to multiple levels in addition to the level of the country (e.g., city-state or economic region) to capture various locational effects. Third, CIP can capture some of the dynamics of the social context reflected, for example, in new laws and regulations. Finally, CIP could perhaps be constructed at different levels of specificity, including issue-specific CIPs (e.g., CIP regarding the issue of environmental protection or the issue of entrepreneurship). Such an approach potentially could provide more proximal ways of accounting for the effects of social context on certain organizational behaviors.

The examination in this article of the organizational and relational embeddedness of the process of practice transfer can be viewed as a step toward a theoretical and operational "unpacking" of the phenomenon of stickiness in knowledge transfers introduced by Szulanski (1996). In addition to the effects of organizational culture, which have been somewhat recognized in past research, I explore in this article the effects of the relationships between the recipient unit and the parent company, as perceived by the members of the transfer coalition. An alternative way to think about the set of organizational factors of transfer success proposed here is in the framework of the *social capital* of

the firm (e.g., Coleman, 1988, 1990; Nahapiet & Ghoshal, 1998)—a perspective worth exploring more thoroughly in the future. One could suggest that the relationships of commitment of the transfer coalition to the parent company, their identity with the parent, and their trust in the parent, as well as their perceived dependence on the parent, are all parts of the social capital of the MNC.

Finally, the focus on intraorganizational relationships reveals yet another theoretical level employed here—that of the *organizational dyad*. Although this level of analysis is beginning to gain some attention in the literature (e.g., Zaheer et al., 1998), its application to the study of innovations and transfer of knowledge in organizations has been somewhat limited. Studying organizational dyads and exploring their role within the differentiated network formed by the units of such complex organizations as MNCs (Nohria & Ghoshal, 1997) certainly is an important direction for future research.

The article has *practical implications* as well. The research question addressed here is of significant practical relevance and importance. As suggested in international management research (Bartlett & Ghoshal, 1997; Nohria & Ghoshal, 1997), the ability to effectively transfer knowledge across borders is a key characteristic of the successful MNC. This is especially important for knowledge believed to be critical for the competitive advantage of the firm, such as the knowledge embodied in strategic organizational practices. Learning what factors might facilitate or impede the process of transfer, therefore, is of strategic importance for MNCs. This model attempts to explain why companies may experience problems when they transfer strategic practices to certain countries or certain organizational units. It could be used to derive recommendations for overcoming some of these problems—for example, by investing in and successfully building up the social capital of the firm. The model also emphasizes the critical role that the transfer coalition at the recipient unit plays in this process.

This article can serve as a basis for subsequent research and theory development. It provides a good foundation for empirical testing of the model. Most of the constructs employed here are established constructs (or slight variations of established constructs) with validated measurement instruments—for example, organiza-

tional culture (O'Reilly et al., 1991), commitment (Mowday et al., 1979), identity (O'Reilly & Chatman, 1986), trust (Cummings & Bromiley, 1995), psychological ownership (Pierce et al., 1992), and satisfaction (Locke, 1976). In addition, some developmental work on measuring CIP will be needed. Alternative approaches should be explored, such as using secondary data on country institutional environments or developing survey instruments for that purpose (Kostova, 1997). Testing the model will require special multi-level methodologies and techniques.

Finally, the model presented here has some limitations. Despite its complexity, it presents a relatively simplified picture of the very complex phenomenon under study. There is a whole array of additional research questions that could be addressed in future theoretical developments to get an even better understanding of the process of transfer of practices across borders. Some of the more interesting future directions could include the following research questions. What are the differential and joint effects of the different dimensions of CIP and institutional distance on the dimensions of transfer success? That is, are implementation and internalization equally affected by the regulatory, cognitive, and normative dimensions of CIP? What is the nature of the interaction between the social, the organizational, and the relational contexts—additive, multiplicative, or nested? Directly related to this is the question of whether it is possible to offset the negative effects that certain types of context might have by developing the other types of context (e.g., offset the influence of unfavorable social contexts by building strong and supportive organizational contexts).

There are also a number of questions related to the nature of the particular practice that is being transferred. For example, how does the specific type of the practice affect the model? Furthermore, does it make a difference if the practice that is transferred is new or is being instituted to replace an existing practice at the recipient unit? One could suggest, perhaps, that replacing an existing practice may create additional difficulties and, thus, may impede the process of transfer. Finally, what are the organizational consequences of successful transfer of strategic practices? Is it possible that similar outcomes can be achieved in different countries through different practices? Addressing these and other questions in addition to the model

presented here will add to our understanding of the important process of transnational transfer of knowledge in MNCs.

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